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ZOOM IN TRADE

SHINHAN Customs Service Inc.



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“
May your day be filled with fulfillment,
and may you find the time to reflect
after giving your all in your assigned
tasks.
”



We are in the harvest season. This period, which begins with Chuseok in Korea and continues through Thanksgiving, [is time to reap the fruits of the labor of sowing and nurturing throughout the year.](#)

"I am so happy and grateful that I can reap this much fruit after only sowing a handful of seeds." My mother always smiled like this. But it took countless days for that handful of seeds to bear fruit. As the seeds grew, my mother's back gradually bent as she walked up and down the furrows, but the deeper glow permeated on her face.

Ideal and Reality for this month is 'What tariff policies are available to support the Korean steel industry in crisis?'; Analysis on Recent Customs Judicial Precedent covers 'Whether a revised return based on a response to a pre-examination of item classification is subject to ex post facto application of the agreement tariff (Tax Tribunal 2025-Gwan0042)'; and HS case solved by logic reports 'Case Studies of Item Classification for Medical Devices'; Global Customs Insight is 'Key Trade Negotiations: Joint Fact Sheet for November 14, 2025 South Korea-U.S. Summit' and FTA and import/export practical business guide is 'The bulk submission system for taxable value declarations data and value declaration forms will be changed starting December 1.'; Contents and Opinion of Customs Trade amendment Covers 'Pre-announcement of Legislation on the Partial Amendment to the Enforcement Decree of the Customs Act'

There is a saying that “the grain ripens while listening to the farmer’s footsteps.” [The warm gaze and gentle hands of the farmer who goes back and forth to the field every day build up and eventually lead to a bountiful harvest.](#) It's not every day of farming the same, but small moments come together in one direction and ultimately bear fruit.

The daily routine of sowing seeds, watering and weeding, pruning and tending. The repetition and devotion of these daily routines fill a farmer's day and ripen the fruit. [Our lives also become stronger as they accumulate in that way.](#)

Through the elevator window leading up and down the office I moved into at the beginning of the year, I see many people walking by. Young people exiting the subway station in the morning sunlight and diligently heading to work, middle-aged people walking home or to another life after a long day. Their footsteps must carry with them a variety of expectations and hardships.

[May your day be filled with fulfillment, and may you find the time to reflect after giving your all in your assigned tasks.](#)

Whether your place of heading after work is to a warm home, a meeting with an old friend, or workout alone, I hope your heart finds peace, even if your body is tired. Even if you're a young person returning to a cold studio apartment, I hope your heart retains a warm glow.

It's the season of gratitude. [If you fill today with gratitude and end today with gratitude,](#) wouldn't you be more excited for tomorrow? Tomorrow will be filled with gratitude, and the day after tomorrow, and the day after that, too will continue to be [filled with gratitude. That kind of daily life is something you create for yourself.](#)

But just like pruning, we need to work on removing things that hinder gratitude from our daily lives.

In an era of rapid growth, overwork was seen as an investment in future advantages. Everyone pushed themselves to acquire more and grow faster.

But now the focus of life must shift from 'tomorrow' to 'today' Sacrificing today for tomorrow is no longer sustainable. Today accumulates to make tomorrow happen. We must not forget this fact.

Eating healthy foods, exercising regularly, learning and growing, and reaching out to your neighbors—these little things add up to create a day filled with gratitude and joy.

Diseased branches such as jealousy, gossip, and excessive competition must be pruned boldly. Just as we prune the branches of a tree to allow for ventilation and sunlight, our lives too must be reorganized to allow for a healthy flow and leisure.

Mother was delighted as she sowed a handful of seeds.

Even in the ordinary daily life of watering and weeding, she never lost her gratitude.

I hope we too, enjoy a daily life filled with gratitude and joy by accumulating small but solid things.

"In everything give thanks; for this is God's will for you in Christ Jesus." (1 Thessalonians 5:18)

*Song Gil-young. (November 6, 2025). Song Gil-young's Big Data: Reading the World.

JoongAng Ilbo <https://www.joongang.co.kr/article/25379913>





Ideal and Reality

What tariff policies are available to support the Korean steel industry in crisis?

To combat dumping, the bonded factory system, FTZ, and TRQ systems are being used.

The Korean steel industry in 2025 faces an unprecedented triple threat. It is because a supply shock from China, a sharp increase in protectionism in the US and EU, and the structural cost increases of the decarbonization era hit all at once.

Steel is the root of Korean manufacturing, and it is a foundational industry in which more than 70% of domestic steel is used in key demand industries of the national economy, such as automobiles, shipbuilding, and construction.



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However, this year, we have entered a phase of complex recession, with steel prices, operating rates, and export competitiveness all simultaneously impacted. To overcome this crisis, we need not just simple industrial support, but a strategic tariff policy directly targeting the steel industry. In particular, since September 2025, exports to the US have declined from the previous 200,000 tons to 100,000 tons per month. Let's examine the current tariff system applicable to steel imports and exports.

1. Possibility of evading anti-dumping duties on Chinese products by utilizing Korea's bonded factory system.

Above all, the biggest challenge lies in China's overcapacity structure. China produces approximately 1 billion tons of steel annually, but due to the housing market slump, its steel production capacity exceeds domestic demand by 200-300 million tons. This excess supply is flowing into Korea, Southeast Asia, and the Middle East.

The problem is not the price. **A low-price offensive that structurally shakes the market itself** is even more serious. In particular, the indirect import of semi-finished products through Korea's bonded factories and warehouses is increasing.

When anti-dumping duties were imposed on Chinese hot-rolled steel sheets, Korean post-processing steel companies applied for bonded factory patents to import products subject to anti-dumping duties **in taxation-suspending status status. After** importing and processing, products are made and brought into the country.

Article 188 of the Customs Act stipulates product taxation, and Article 189 stipulates raw material taxation. However, since anti-dumping duties can be avoided by suspending taxation when the product is brought into a bonded factory and then applying for product taxation when the product is completed and cleared through customs, post-processing companies are expanding the establishment of bonded factories.

Steel subject to anti-dumping duties from China is used in shipbuilding in bonded factories and, if the product tax under Article 188 of the Customs Act is applied, both tariffs and value-added tax are 0%. This has led to the use of Chinese steel as shipbuilding steel plates. In the shipbuilding industry, where orders have recently increased, high labor costs make it difficult to encourage the use of only high-priced Korean steel.

When low-priced dumped goods are imported into bonded factories under taxation suspending status and then cleared for import as finished products, new products are

cleared customs, thereby avoiding anti-dumping duties. In this case, the effect of anti-dumping duties on steel will be nullified, and the domestic steel industry will be forced to use imported steel instead of selling its own. Companies like POSCO and Hyundai Steel will increasingly lose the Korean market to low-priced Chinese steel.

These companies are discussing with the Ministry of Strategy and Finance and the Korea Customs Service that bonded steel factories are serving as a means of evading anti-dumping duties. The government is compromising by shortening the patent term for these steel bonded factories to one year and limiting the use of items subject to anti-dumping duties as patent requirements. However, this is merely a stopgap measure, and unless anti-dumping duties are fully implemented immediately, the domestic steel industry could face restructuring.

We must recognize that in 2025, many post-processing and shipbuilding companies are increasingly expanding bonded factories to neutralize anti-dumping duties, putting the domestic steel industry at risk. Rather than allowing duty-free imports of anti-dumping duty goods for one year under the bonded factory patent requirements, we must proactively propose amendments to the Customs Act, **Designate as subject to raw material taxation under Article 189**, and goods subject to anti-dumping duties must be subject to duties without exception even in bonded factories.

2. The United States cannot evade anti-dumping duties in FTZs (free trade zones).

What about the US Free Trade Zone (FTZ)? While the US provides general tariff reductions on goods entering its Free Trade Zone (FTZ), **anti-dumping duties (AD) and countervailing duties (CVD) are never exempted.**

This is not simply a matter of institutional principles, but rather the result of a complex intertwining of U.S. trade policy, industrial policy, and national security strategy.

In Korea, there is a practice of "not taxing bonded factories unconditionally," but **in cases where damage from dumping is clearly occurring, we must deviate from the principles and think differently.**

Anti-dumping duties are ****penalty duties**** imposed to compensate for damage to U.S. industries caused by subsidies or dumping by a specific country. They are ****targeted measures**** targeting specific products from specific countries, such as China, South Korea, and Vietnam.

FTZs are merely administrative systems that provide tariff deferrals and logistical convenience. If anti-dumping duties were exempted for imports into FTZs, the effectiveness of US steel sanctions targeting specific countries and companies would be completely undermined. Therefore, the US does not exempt anti-dumping duties in FTZs.

The United States did not initially impose anti-dumping duties in FTZs. From the 1990s to 2010s, there were many cases where Chinese steel and panels were imported into FTZs and then **circumvention dumping in which products are reintroduced into the U.S. market after undergoing only minor processing.**

As these cases were repeated, the U.S. Department of Commerce (DOC) and Customs and Border Protection (CBP) strengthened the principle that "items subject to dumping duties must be assessed regardless of whether they are processed in an FTZ."

In other words, the FTZ was institutionally blocked from being used as a 'dumping bypass route.'

It is time for Korea's bonded factories to think about **a more decisive response to anti-dumping duties** like the US FTZs.

3. Considerations for Overcoming U.S. and European Steel Tariff Policies

The United States imposes a 50% **tariff on each item** on steel starting in June 2025, and Europe is also implementing new safeguards **TRQ (Tariff Rate Quota) system** to replace existing steel safeguards.

TRQ is a dual tariff system that applies a low tariff to a certain quantity of a specific item, and imposes a high basic tariff on quantity exceeding that quantity.

The EU announced that it would reduce the TRQ volume by 47% (from 30.53 million tons to 18.3 million tons) and increase the tariff on excess volume from 25% to 50%.

Exports to the US and Europe are declining, the Middle East is being dominated by Chinese products, and Japan is also considering imposing anti-dumping duties on Korean galvanized steel sheets.

If the world strengthens its steel tariff policy to protect its own steel industry, Korea will have difficulty exporting and its domestic market will be shaken by Chinese products, and will be in **a somewhat ambiguous vacuum**.

All of this stems from China's overcapacity and overproduction, so it would be best for China to reduce production.

Korea too needs to introduce a **TRQ (Tariff Rate Quota) system** to manage imports from China in the short term. Above all, policies should be implemented to increase steel consumption in the construction sector, where steel is heavily used. However, the current unsold inventory and real estate policies make this difficult. The difficulties of the global steel industry cannot be explained by a single cause; appropriate restructuring and a comprehensive economic solution are necessary. **This is not a problem that can be solved through tariff policy alone.**

The Chinese government has announced production cuts, but individual steel companies are actually increasing their export targets. This is because restructuring is so difficult.

Even in the tariff negotiations with the United States, which resulted in the November Korea-U.S. Fact Sheet, the issue of lowering steel tariffs was not accepted, and the 50% tariff remained in place. Currently, the U.S. imposes tariffs on 407 products including steel by each item, and the US are saying recently they are reviewing additional **tariffs on 700 items**. In this case, there is concern that exports will further decline in many of the items we export.

Furthermore, the Ministry of Environment's greenhouse gas reduction target for 2035, set at 53-61% compared to 2018 levels, will make it difficult for the steel industry to continue production at bituminous coal-based blast furnaces and is highly likely to fall further behind Chinese manufacturers in cost competition. With over 50% of Korea's added value derived from energy-intensive industries like steel, chemicals, oil refining, cement, and petrochemicals, careful timing is crucial. Since the starting point of US tariff negotiations is ultimately China's overproduction and overexports, efforts should be made to urge China to reduce production in cooperation with the international community.

If the request is not accepted, it is highly likely that a country-specific quota system to control import volumes, such as the tariff-rate quota (TRQ) system, will be implemented.

4. The Chinese steel industry must recognize that WTO principles are collapsing.

WTO's

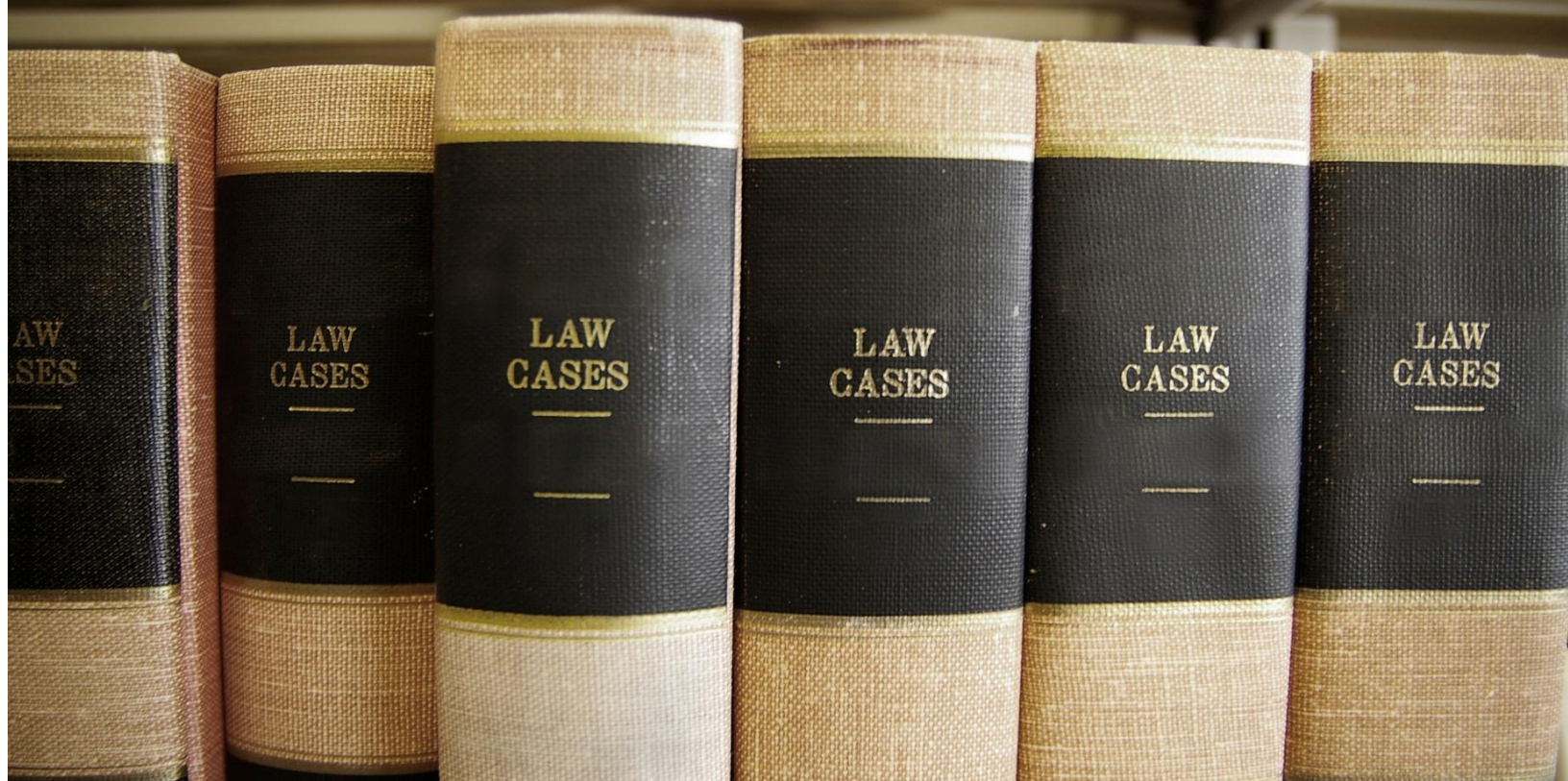
- **Most-Favored Nation Principle**
- **National Treatment Principle**
- **Market Access Principle**
- **Transparency Principle**
- **Fair Competition Principle**
- **The Special & Differential Treatment (SDT) principle was a free trade principle that treated all countries equally, and it is true that it contributed greatly to China's growth.**

However, now that China's overproduction has led the United States to start imposing high tariffs and include all countries in its tariff policy, the damage will be borne by other countries, and who would have expected the WTO principles will be rendered powerless.

While businesses must strive to generate profits and survive, China's government-led, subsidized approach to dominating the global market could ultimately lead to the collapse of numerous countries' industries and jobs. This sense of crisis has led to tariff disputes, including those involving the U.S. Customs Service, as demonstrated by the Trump administration's tariff policy in its second term in 2025.

If China reduces overproduction and the United States lowers tariffs, many countries, including Korea, will be able to maintain stable production and employment and facilitate exports.

China's **Non-Market Policies** are making steel companies collapse in each country, and the EU's decision to reduce the duty-free quota for steel imports in 2026 and impose high tariffs is ultimately aimed at China. In response to these strengthened steel regulations in the US and Europe, we expect China **to take fundamental measures to reduce excess facilities and not divert the quantity to other countries.** At the same time, we hope to see a variety of economic policies implemented to expand steel demand through the production of high-value-added products and the revitalization of domestic investment to enhance the competitiveness of Korean steel.



Analysis on Recent Customs Judicial Precedent

Whether a revised return based on a response to a pre-examination of item classification is subject to ex post facto application of the agreement tariff (Tax Tribunal 2025-Gwan0042)

1. Background

From July 2021 to December 2022, the claimant corporation imported dental primer (item 1 at issue) and etchant agent (item 2 at issue) from Company A in the United States, and classified and reported Item 1 at issue as HSK heading 3006.40-1000 (dental cement, WTO agreement rate 0%) and Item 2 at issue as HSK heading 3006.40-2000 (dental filling, WTO agreement rate 0%).

Afterwards, the claimant corporation applied for a preliminary examination of item classification to the Customs Valuation and Classification Institute in September 2024. As a result, the item at issue 1 was determined to be HSK heading 3824.99-9090, and the item at issue 2 was determined to be HSK heading 3306.90-2000.



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Accordingly, the claimant corporation paid customs duties, value-added tax, and additional tax through a revised return in November 2024, and applied for ex post facto application of the FTA agreement rate (0%) in January 2025, but the customs office rejected it (disposition at issue).

The claimant was dissatisfied with this and requested for a trial.

2. Issues

Whether it is possible to apply for ex post facto application of FTA agreement tariff rates even if the importer voluntarily makes a revised return based on the response from the pre-examination of product classification

3. Claim of the claimant

The claimant argued that ex post facto application of the agreement tariff is possible even in the case of a voluntary revised return for the following reasons.

- ①The revised FTA Tariff Act (effective as of December 31, 2024) allows for the ex post facto application of the agreement tariff rate when revising a tax return due to a change in item classification under Article 87 of the Tariff Act.
- ②This is intended to ensure fairness even when the importer voluntarily makes a revised return due to changes in the pre-examination decision, etc.
- ③Excluding ex post facto application simply because the customs director did not announce a change in item classification is against the purpose of the revision.
- ④It is unreasonable to deny benefits to taxpayers who have revised their tax returns in accordance with customs guidance.

4. Disposal Agency Claim

The Disposal Agency argued that voluntary revised returns are not subject to ex post facto application of the agreement tariff for the following reasons:

- ①Article 9, Paragraph 2 of the FTA Customs Act permits the ex post facto application of the agreement tariff only in cases where the classification of items is changed pursuant to Article 87 of the Customs Act or through ex officio decision by the head of a customs office. This does not apply to voluntary revision made in response to a pre-examination review.

- ②The intent of the revised law is to include cases where a pre-examination decision has been changed and a revised return has been filed, but not all revised returns are permitted. Tax reduction provisions must be strictly interpreted, and any favorable extension or analogical interpretation is prohibited.
- ③The guidance on customs' revised return is merely general guidance for the convenience of taxpayers, such as reduction of additional tax, and cannot be viewed as an act that guarantees the possibility of ex post facto application of the agreement tariff.

5. Hearing and judgment

Article 9, Paragraph 2 of the FTA Tariff Act lists a limited number of items eligible for ex post facto application of agreement tariffs.

That is, ex post facto application is only recognized in cases of ① revised return due to changes in item classification pursuant to Article 87 of the Customs Act and ② collection pursuant to ex officio correction by the Commissioner of the Customs Office.

This case is one in which the importer voluntarily filed a revised return after receiving a response from the preliminary review of item classification, and thus does not fall under the "ex officio item classification change by the Commissioner of Customs Service" under Article 87.

Therefore, the customs office's rejection of the application for ex post facto application of the agreement tariff is lawful and justified.

6. Practical Implications

The main practical implications that can be confirmed through this case are as follows:

- ①The ex post facto application of FTA agreement tariffs is an exceptional system.

It was clarified that the ex post facto application of the agreement rate is only possible if customs action (ex officio correction or change in item classification) has been taken first, and that it is not possible through the importer's voluntary revised return alone.

- ②Preliminary examination of item classification (Article 86) and change of item classification (Article 87) must be distinguished.

The results of the preliminary examination are merely for reference, and for the ex post facto application of the agreement tariff rate, there must be a notice of change in item classification by the Commissioner of the Korea Customs Service or a corrective action by the customs office.

- ③Customs' guidance on revised return cannot serve as a legal basis.

Even if you file a revised return following customs guidance, it will not be accepted if the requirements for FTA ex post facto application are not met. Taxpayers must separately review the legal basis for the

possibility of FTA ex post facto FTA application.

④The tax reduction regulations are subject to strict interpretation. Since ex post facto application of the agreement tariff rate constitutes a tax reduction, it will not be recognized if it does not comply with the written regulations. Taxpayers must thoroughly prepare legal requirements and supporting documentation at the preliminary stage.

7. Practical Application Strategy

①When an error in item classification is found

Rather than simply revising the return based on a pre-examination response, it is advisable to induce a correction by the customs office or a notice of change in item classification by the Korea Customs Service.

②When FTA ex post facto application is planned to be applied

It must be clearly distinguished whether the change in item classification is due to customs' ex officio authority or a voluntary revision by the importer.

③Procedure management

Since you can apply for ex post facto application of the agreement tariff within one year of import declaration, you must check whether you apply within the deadline and meet the requirements.

④Strengthening internal control

A collaborative system should be established between the FTA origin management department and the item classification department, and the possibility of applying the agreement tariff rate should be closely reviewed from the item classification preliminary review stage.



HS case solved by logic

Case Studies of Item Classification for Medical Devices

1. Outline

Medical devices are one of the most frequently encountered items during customs clearance. While they're frequently encountered in everyday life, their specialization makes classification challenging. Therefore, we'll examine key cases and explore item classification for medical devices.

2. Tax Tribunal 2025-0047 (Decision Date: 08-19-2025) +

① Issue

Should the Personal potential generators be considered as other medical devices and be classified under heading 9018.90-9080 or be considered as household electrical appliances and be classified under heading 8543.70-2090



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② Decision

The item at issue is a medical device manufactured for the purpose of medical treatment, which is a commercial product used for health management at home and can be purchased freely without special conditions such as a doctor's prescription. It is difficult to see this as falling under heading 9018.

③ Basis

- Under heading 9018 "Internal medicine, surgical, dental, and veterinary devices" are classified, and in the commentary of the same heading, it is explained that "Under this heading, a wide range of devices used by physicians, surgeons, dentists, veterinarians, midwives, etc. in the course of their profession are classified, regardless of whether they are for diagnostic, preventive, therapeutic, surgical, etc. devices. It also includes devices for dissection, autopsy, incision, etc., and dental devices under certain conditions."

- The item at issue is a personal potential generator for improving blood circulation at home. It cannot be considered a device manufactured for medical purposes for professional use by doctors. It is an industrial product used for health management at home that can be purchased freely without special conditions such as a doctor's prescription, so they do not fall under heading 9018.

- The Explanatory Note to Tariff No. 8543 states that "This heading includes in particular the following", and specifically states that "(2) Signal generators: these devices convert a signal of a detected waveform or intensity into an electrical signal of a specified frequency (e.g., high or low frequency). These devices include in particular impulse generators, pattern generators and wobblers (sweep generators)", and "(9) High or intermediate frequency amplifiers (including instrumentation amplifiers and antenna amplifiers)".

- The item at issue is household electrical appliances and cannot be classified as other medical devices under heading 9018. Therefore, they should be classified as other electrical appliances under heading 8543.70 in accordance with General Rules 1 and 6 on the Interpretation of Tariff Schedule.

3. Tax Tribunal 2023-0025 (Decision Date: 07-12-2023)

① Issue

Should the low frequency massager be considered as a massage device and be classified under 9019.10-2000 or be considered as other electrical devices be classified under 8543.70-2090

② Decision

It is an electrical device that stimulates muscles by sending low-frequency electrical current directly to the muscle layer inside the skin through electrode pads, and is not classified in any other heading of Chapter 85 with its own unique function. It is appropriate to classify it as heading 8543.70-2090.

③ Basis

- The explanatory note to heading 8543 of the Tariff Schedule states that "This heading includes all electrical apparatus which does not fall under any other heading of this Chapter, which is not specifically classified in any other Chapter of the HS Code, and which is not excluded by the application of Section XVI or the Legal Notes to this Chapter. In particular, the principal electrical apparatus classified in other Chapters are electrical machines of Chapter 84 and certain types of apparatus of Chapter 90."

- Massage device that is classified under Tariff Schedule No. 9019 generally involves friction, vibration, and other actions, and includes manual, motorized, and electromechanical (vibration massage devices) devices with built-in motors. The explanatory note also states that it includes simple rubber rollers or similar massage devices, water massage devices, and mattresses for treating bedsores.

- Tariff schedule No. 9019 generally classifies massage device Performing movements such as friction and vibration using mechanical force, and the item at issue is Electrical Muscle Simulator, an electrical (low-frequency) muscle stimulator that utilizes the electrical effect, i.e. the effect of electric current. Rather than classifying it as a massage device in Tariff No. 9019, it is more reasonable to classify it in Heading 8543, which classifies products using electrical effects.

4. Implications

Medical devices can generally be classified under headings 9018 through 9022. However, even if they are nominally medical devices, as seen in the examples above, they can be classified in various ways based on their function.

Therefore, it appears that accurate tariff classification will be possible only after a thorough review of the specific operation method and purpose of the medical device and a thorough comparison with the provisions of the tariff schedule and explanatory notes.



Global Customs Insight

Key Trade Negotiations: Joint Fact Sheet for November 14, 2025 South Korea–U.S. Summit

[Outline]

On November 14, 2025, President Lee Jae-myung announced a fact sheet containing the final results of the tariff and security negotiations agreed upon at the Korea-U.S. Gyeongju Summit on October 29. The fact sheet concludes trade negotiations between South Korea and the United States, including tariffs on automobiles and semiconductors.

The White House also released a Joint Fact Sheet on the Korea-US Summit on November 13, 2025 (local time).



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[Summary of tariff negotiations]

tariff measures	Agreement contents
reciprocal tariffs	maintain 15% applied (have been applied since 8.7.25)
Tariffs by item(automobiles, parts)	Reduced from 25% to 15%
Tariffs by item (timber and timber derivatives)	15%
Tariffs by Item (Pharmaceuticals)	15% (to be imposed)
Tariffs by item(Semiconductors)	Most-favored-nation treatment
* Products listed on the "Potential Tariff Adjustments for Aligned Partners" list, including generic drugs, raw materials, chemical precursors, and certain natural resources not produced in the United States (reciprocal tariff exemption) * Reciprocal tariff exemption and item-specific tariff exemption for Korean aircraft and parts * For reciprocal tariffs and Article 232 tariffs on some products (automobiles, auto parts, lumber and lumber derivatives), if the tariff rate applied under the MFN or the Korea-US FTA is 15% or higher, it is not imposed; if it is 15% or lower, it is imposed within the range of a total tariff rate of up to 15%.	

[Full text of tariff negotiations]

- Reciprocal tariffs

For reciprocal tariff purposes pursuant to Executive Order 14257, dated April 2, 2025, and amendments thereto, the United States will apply the applicable rate under the Korea-U.S. FTA or the U.S. most-favored-nation (MFN) tariff rate, or 15%, whichever is higher, to Korean goods.

- Tariffs by item (Article 232 Tariffs)

- The United States will reduce Section 232 tariffs on Korean automobiles and parts, logs, lumber, and wood products to 15%. For Korean goods with an

applicable tariff rate of 15% or higher under the Korea-U.S. FTA or the U.S. Most-Favored-Nation (MFN) tariff, no additional Section 232 tariffs will be imposed. For Korean goods with a tariff rate of less than 15%, the sum of the applicable Korea-U.S. FTA or U.S. MFN tariff and the additional Section 232 tariff will be 15%.

- For any Section 232 tariffs imposed on pharmaceuticals, the United States intends to ensure that the Section 232 tariff rate on Korean goods does not exceed 15%.

- For any Section 232 tariffs imposed on semiconductors (including semiconductor equipment), the United States intends to impose Section 232 tariffs on Korea on terms no less favorable than those that would be provided under a future agreement covering semiconductor trade equal to or greater than Korea's semiconductor trade, as determined by the United States.

- The United States intends to eliminate additional tariffs imposed pursuant to Executive Order 14257, dated April 2, 2025, and its amendments, on certain products listed in the "Potential Tariff Adjustments for Aligned Partners" list, including generic pharmaceuticals, raw materials, chemical precursors, and certain natural resources not produced in the United States. Furthermore, the United States will eliminate tariffs on certain Korean aircraft and parts imposed pursuant to Executive Order 14257 and its amendments, Proclamation 9704 and its amendments, Proclamation 9705 and its amendments, and Proclamation 10962.

[Summary of Non-Tariff Barrier Negotiations]

division	Agreement contents
automobile	- Elimination of import caps on US automobiles that meet US Motor Vehicle Safety Standards (FMVSS). * Existing 'equivalence standard' of up to 50,000 units per year per brand under the Korea-US FTA
Food and agricultural products	- Streamlining the regulatory approval process for biotechnology products - Establishment of a dedicated U.S. Desk for inquiries related to U.S. horticultural crops - Maintaining market access for meat and cheese using specific designations
digital economy	- Non-discrimination in digital services, including network usage fees and online platform regulations - Promise for smooth cross-border transfer of information (Location, reinsurance, personal information, etc.) - Support for the permanent moratorium on tariffs on electronic transmissions within the WTO
etc	- Establishing additional procedural fairness provisions in related procedures - Cooperation in intellectual property rights protection - Guaranteeing the protection of labor rights and cooperating to combat all forms of forced labor worldwide. - Effective enforcement of domestic environmental laws to faithfully implement the WTO Fisheries Subsidies Agreement.

[Full text of non-tariff barrier negotiations]

- South Korea will abolish the 50,000-unit annual cap on imports of US-origin vehicles that comply with the Federal Motor Vehicle Safety Standards (FMVSS) without requiring any additional modifications. By eliminating the requirement for additional documentation beyond what is already submitted to US authorities during the emissions certification process, South Korea will ease the regulatory burden on US vehicle exports.

- Korea will cooperate with the United States to discuss non-tariff barriers affecting trade in food and agricultural products. This will include ensuring implementation of existing commitments under bilateral agreements and protocols, streamlining the regulatory approval process for agricultural biotechnology products and eliminating delays in US applications, establishing a dedicated U.S. Desk to address requests related to US horticultural crops, and maintaining market access for US meat and cheese under specific designations.

- South Korea and the United States pledge to ensure that US companies do not face discrimination or unnecessary barriers in laws and policies related to digital services, including network usage fees and online platform regulations, and to facilitate the cross-border transfer of information, including information related to location, reinsurance, and personal information. South Korea and the United States also support the permanent moratorium on tariffs on electronic transmissions within the World Trade Organization (WTO).
- Korea commits to establishing additional procedural fairness provisions in competition-related proceedings, including recognition of attorney-client confidentiality.
- Korea and the United States cooperate to protect intellectual property rights. To this end, Korea continues to take the necessary steps to join the Patent Law Treaty.
- South Korea and the United States pledge to cooperate to ensure robust protection of internationally recognized labor rights. South Korea and the United States will cooperate to combat all forms of forced labor worldwide, including combating the import of goods produced through forced labor.
- Korea and the United States reaffirm the importance of ensuring that differences in environmental protection do not distort trade and investment. To this end, Korea will effectively enforce domestic environmental laws to promote mutual trade, including by faithfully implementing the WTO Fisheries Subsidies Agreement.



FTA and import/export practical business guide

The bulk submission system for taxable value declarations data and value declaration forms will be changed starting December 1.

Taxpayers are required to file a value declaration and submit taxable value determination data when filing an import declaration. In addition to filing an import declaration and tax return, they must also declare the value of the goods. Import declarations and tax returns must be submitted using the import declaration form, while the value declaration must be submitted on a separate form.

If the taxable price is less than \$10,000, imports from public institutions such as the government, or goods not subject to customs duties or domestic taxes, value declarations may be waived. However, value declarations cannot be waived for goods with a surcharge on the taxable price, goods that include indirect payments, or goods subject to provisional value declarations.



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The new system of batch submission of taxable value declaration data, which has been implemented from September 1, 2025, is mainly focused on restructuring the system so that taxable value determination data, which previously had to be submitted for each item for goods repeatedly imported under the same conditions from the same seller, is now submitted only once a year.

The subject to submit data on determining the taxable value is when there are amounts (additional factors) that must ultimately be included in the value of imported goods, even if they are not paid during the import transaction, and when transactions are between related parties. Accordingly, details on each additional factor and the pricing method for transactions between related parties must be provided.

- 8 major areas subject to submission of taxable price determination data: Transactions between related parties, royalties, production support, commissions and brokerage fees, freight and insurance costs, container and packaging costs, post-transfer profits, and indirect payments

The system for submitting taxable value determination data in bulk went into effect on September 1st of this year, but the revised value declaration form, which includes a description of the product price, will be implemented starting December 1st. This revision to the value declaration form has improved the questions that previously required subjective judgment to allow for objective verification of facts. The method for determining import prices between related parties has also been changed from an open-ended description to a multiple-choice format. This is expected to reduce the burden of document preparation on taxpayers and enhance the objectivity and consistency of submitted documents.

[Major Changes to the Value Declaration Form]

(Before revision)

(c) Did the special relationship influence the price of the imported goods?	☐ Yes ☐ No
(d) Is the transaction value based on a "test value" under Article 5 of the Customs Act Enforcement Regulation? (selective entry)	☐ Yes ☐ No
(e) Which method was used to determine the customs value of the imported goods in transactions between related parties? [Select 1 from ① ~ ⑧]	[Select 1]
① Transaction value of identical goods ② Resale price method ③ Cost-plus method ④ Profit (margin) method (operating profit ratio) ⑤ Transaction profit method (operating profit ratio) ⑥ Transaction profit method (total cost markup) ⑦ Transaction profit method (Berry Ratio) ⑧ Other ()	

(After revision) From value declaration on December 1, 2025

(c) What method was used to determine the normal value of imported goods in transactions between related parties?	[Select 1 from ①]
① Transaction value of similar goods ② Resale price method ③ Cost-plus method ④ Transaction profit method ⑤ Other reasonable means	
(d) What method was used to determine the transaction value of imported goods in transactions between related parties?	[Select 1 from ①]
① Domestic sale price × (1 – retail sale rebate or percentage of markup) ② Domestic sale price – target profit (operating expenses etc.) ③ Manufacturing cost × (1 + percent markup) ④ Manufacturing cost × coefficient ⑤ Other (enter detailed method)	



Contents and Opinion of Customs Trade Amendment **Pre-announcement of Legislation on the Partial Amendment to the Enforcement Decree of the Customs Act**

1. Overview

On October 17, 2025, the Ministry of Strategy and Finance pre-announced the legislation on the partial amendment to the Enforcement Decree of the Customs Act.

This amendment is intended to clearly establish the anti-circumvention system, and to establish an institutional basis for allowing dumped goods assembled and completed in a third country to be subject to anti-dumping duties if they have substantially the same effect as the original dumped goods.



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This measure reflects the recent diversification of global supply chains and the increasing number of cases in which some companies are exporting through third countries to avoid dumping investigations.

Therefore, this amendment can be seen as a follow-up legislative step taken by the government to enhance fairness in international trade and protect domestic industries from dumping damage.

This amendment embodies the detailed criteria for enforcement rules in accordance with the enforcement ordinance revision in early 2025, and is expected to have a substantial impact on future anti-dumping investigations and practices.

2. Reason for amendment

The existing circumvention dumping system only targeted “minor modifications,” and lacked specific criteria for determining circumvention dumping in the form of assembly and completion in a third country.

Accordingly, the revised Enforcement Decree of the Customs Act aims to strengthen the effectiveness of the anti-dumping tariff system by clearly stipulating in the enforcement regulations the criteria for determining “assembly/completion in a third country,” which is newly included in the anti-dumping target.

3. Main contents

This amendment stipulates that the following specific factors be considered when determining whether assembly and completion are done in a third country:

(1) Nature and cost of the process: Determine whether it is a simple assembly process or a real manufacturing process.

(2) Investment level: Production facilities and investment scale in third countries

(3) Composition ratio of parts and raw materials: The proportion of parts and raw materials procured from the country supplying the dumped goods.

(4) Share of added value: The proportion of added value generated in third countries

(5) Trade changes: Trade trends in dumped goods and related parts and raw materials before and after the dumping investigation.

This strengthens the basis for imposing anti-dumping duties even in indirect export structures via third countries if they are determined to be acts of avoiding dumping.

4. Revision comments and implications

This revision is significant in that it establishes a system to prevent anti-dumping duty evasion and establish a fair trade order.

Especially for importers or multinational manufacturers that utilize overseas production bases, it is necessary to review whether assembly or processing in a third country could be considered as simple assembly.

This suggests the importance of managing the risk that third-country production processes may be considered antidumping circumvention in future antidumping investigations.

Additionally, this amendment is in the administrative advance notice stage, and comments can be submitted until November 26, 2025.

you can participate in the process of finalizing the enforcement regulations by submitting comments when necessary.

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